

**BEFORE THE  
FEDERAL MARITIME COMMISSION**

---

Docket No.: 16-16

---

MAVL CAPITAL, INC.,  
IAM & AL GROUP INC., and MAXIM OSTROVSKIY,

*Complainants,*

– vs. –

MARINE TRANSPORT LOGISTICS, INC. and DIMITRY ALPER,

*Respondents.*

---

**COMPLAINANTS' BRIEF IN SUPPORT OF  
ITS' EXCEPTIONS TO INITIAL DECISION ON REMAND**

Complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY (“complainants”), by and through their Counsel, Marcus A. Nussbaum, Esq., pursuant to Rule 227 of the Federal Maritime Commission's ("FMC" or "Commission") Rules of Practice and Procedure, 46 C.F.R. § 502.227, submit the following Brief and Exceptions to the Initial Decision on Remand issued in this proceeding by the Presiding Officer on September 29, 2021.

Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224  
Tel: 888-426-4370  
Fax: 347-572-0439  
Attorney for Complainants  
marcus.nussbaum@gmail.com

## **I. INTRODUCTION AND PROCEDURAL HISTORY**

This case was initiated by complainants MAVL CAPITAL, INC., IAM & AL GROUP INC., and MAXIM OSTROVSKIY against respondent Non-Vessel Operating Common Carrier (“NVOCC”) MARINE TRANSPORT LOGISTICS, INC. (“MTL”) and its Director of Operations DIMITRY ALPER wherein complainants allege that respondents violated sections of the Shipping Act of 1984, 46 U.S.C. §40101, *et. seq.* (the “Shipping Act”) and the Commission's regulations at Part 515, in connection with certain vehicles owned by complainants, to wit: a 2006 Mercedes SL65, a 2011 Porsche Panamera, and three motorcycles - a 2004 Harley Davidson FXDXI, a 2007 Harley Davidson FXD, and a 2000 Harley Davidson XL883. Specifically, the violations of the Shipping Act alleged against respondents in this action include, *inter alia*, with respect to Complainant’s cargo, that the respondents, in violation of 46 U.S.C. §§41102, 41104, and the FMC’s regulations at 46 C.F.R. Part 515:

- i. Failed to establish, observe, and enforce just and reasonable regulations and practices relating to or connected with receiving, handling, storing, or delivering property;
- ii. Unreasonably refused to deal or negotiate;
- iii. Retaliated against Complainants because the Complainants had patronized another carrier;
- iv. Knowingly misdelivered Complainants’ cargo; and
- v. Converted Complainants’ cargo under the false premise of having exercised a maritime lien.

On January 17, 2017, a Partial Initial Decision dismissed the claims for all but the Porsche Panamera. Initial Decision at 28, 2017 FMC LEXIS 4 (ALJ Jan. 17, 2017) (“I.D.”). On January 27, 2017, an order was issued staying the proceeding on the Porsche claim until the Commission ruled on exceptions to the partial initial decision. On October 29, 2020, the

Commission issued a Memorandum Opinion and Order remanding the section 41102(c) claim regarding the Mercedes SL65 for further proceedings. Memorandum Opinion and Order at 18, 2020 FMC LEXIS 216 (FMC Oct. 29, 2020) (“Commission Order”). This triggered the end of the stay of the Porsche claim. The parties were provided time to complete discovery and brief the remaining issues.

On September 29, 2021, the Presiding Officer issued her Initial Decision on Remand, explaining that MTL asserted a lien and liquidated the vehicles based upon the terms of its standard house bill of lading which documents its normal business practice that:

“the Carrier shall have the right in its absolute discretion to dispose of the Goods and/or to sell the Goods by public auction or private sale without notice to the Merchant.”

Accordingly, the Presiding Officer found that complainants have established that the regulations and practices identified in MTL’s house bill of lading, which form the justification for the liquidation of the Mercedes and Porsche vehicles without sufficient notice or legal process, are unreasonable. For that reason, complainants have established by a preponderance of the evidence that MTL violated the Shipping Act.

Nevertheless, the Presiding Officer held that the evidence does not support awarding reparations. Despite having found that MTL violated the Shipping Act, the Presiding Officer additionally did not identify complainants to be “prevailing parties” within the meaning of the Commission’s definition (as defined by FMC precedent) and makes no further findings on that issue. The instant Exceptions are limited to the sole issues of the lack of an award of reparations and the Initial Decision on Remand’s silence as to whether complainants were “prevailing parties” nevertheless.

## **II. THE PRESIDING OFFICER'S RATIONALE AS TO WHY REPARATIONS WERE NOT AWARDED**

The section of the Initial Decision on Remand which addressed the issue of reparations begins on page "31" thereof, where the Presiding Officer explained, in relevant part as follows:

Commission case law states that: "(a) damages must be the proximate result of violations of the statute in question; (b) there is no presumption of damage; and (c) the violation in and of itself without proof of pecuniary loss resulting from the unlawful act does not afford a basis for reparation." *Waterman v. Stockholms Rederiaktiebolag Svea*, 3 F.M.B. 248, 249 (FMB 1950); *see also James J. Flanagan Shipping Corp. v. Lake Charles Harbor & Terminal Dist.*, Docket No. 94-2, 30 S.R.R. 8, 13, 2003 FMC LEXIS 30, at \*16 (FMC Aug. 26, 2003).

The statements of the Commission in [*California Shipping Line, Inc. v. Yangming Marine Transport Corp.*, 25 S.R.R. 1213 (FMC 1990)] and the other cited cases are in the mainstream of the law of damages as followed by the courts, for example, regarding the principles that the fact of injury must be shown with reasonable certainty, that the amount can be based on something less than precision but something based on a reasonable approximation supported by evidence and by reasonable inferences, the principle that the damages must be foreseeable or proximate or, in contract law, within the contemplation of the parties at the time they entered into the contract, the fact that speculative damages are not allowed, and that regarding claims for lost profits, there must be reasonable certainty so that the court can be satisfied that the wrongful act caused the loss of profits.

*Tractors and Farm Equipment Ltd. v. Cosmos Shipping Co., Inc.*, Docket No. 81-57, 26 S.R.R. 788, 798-799, 1992 FMC LEXIS 86, at \*52-53 (ALJ Nov. 23, 1992) (Admin. final 1992).

The complaint requests "[d]irect damages in excess of \$180,000.00 constituting the amounts paid for the purchase of the vehicles plus additional consequential damages for sums arising out of lost contracts, plus interest." Complaint at 9. In their brief, Complainants seek \$48,500, based on the US Customs declared value of the Mercedes plus \$67,000, based on a contract for sale of the Porsche, plus \$10,000 paid to RFG for ocean freight and other charges. Brief at 63. MTL suggests that Complainants should not be awarded reparations. Opposition at 2-3.

The evidence shows that the Mercedes SL65 was purchased in Germany and imported in November of 2012. CR/OTSC, Ostrovskiy Cert ¶ 2; CApp., Vol. 3, Appendix FF, Ex. A at P0020-P0023. It is possible that Complainants paid for the Mercedes in Germany and paid the shipping costs from Germany. However, it is also possible that someone else paid the purchase price and shipping fees. It is possible that Complainants wired \$5,500 to IAA on April 18, 2013, and \$10,000

to RFG on April 22, 2013, for the Porsche Panamera as they claim. CApp., Vol. 4, Appendix JJ, Ex. G at 1; CApp., Vol. 4, Appendix JJ, Ex. G at 2. However, it is also possible that those payments were made by someone else or were for a different shipment. For example, it is possible that RFG paid IAA for the Porsche and that RFG financed part, if not all, of the purchase and repairs of the Porsche. CApp., Vol. 4, Appendix KK, Ex. 2 at 2; CApp., Vol. 3, Appendix II at 2. Complainants conducted their business with limited written documentation, including making verbal requests and agreements. As a consequence, Complainants have a harder time providing evidence to establish actual injury.

The evidence supports Complainants' argument that the loss of the Mercedes and Porsche vehicles were caused by MTL's violation of the Shipping Act. However, Complainants have the burden to establish actual injury caused and the evidence is not sufficient to impose reparations. If the evidence produced by both parties is evenly balanced, the party with the burden of persuasion will not prevail. *Director v. Greenwich Collieries*, 512 U.S. 267, 281 (1994). Because there is not sufficient evidence or documentation to support the reparations requested, no reparations can be awarded.

The Presiding Officer then concludes that:

Complainants point to other ways to value the vehicles, such as the customs declaration and contract for sale. However, reparations are only available for actual injury, so estimates of value such as on a customs declaration would not be a basis for reparations. In addition, contracts for sale for a vehicle that was damaged and which a buyer had never seen are too speculative to support a reparations award. Accordingly, Complainants have not established that they are entitled to reparations.

For the reasons set forth below, complainants have overwhelmingly established "actual injury" (including the value of the lost cars and complainants' lost profits) within the meaning of well-established precedent on the issue of lost cargo (and more specifically, lost automobiles) as well as within the meaning of the standard of review cited by the Presiding Officer within the Initial Decision on Remand.

### III. ARGUMENT

#### A. COMPLAINANTS HAVE ESTABLISHED THAT THEY ARE PREVAILING PARTIES WITHIN THE MEANING OF COMMISSION PRECEDENT

##### *Prevailing Parties*

In implementing changes to Rule 254 of the Federal Maritime Commission's Rules of Practice and Procedure, see 46 C.F.R. § 502.254, the Commission discussed instances when a complainant would generally qualify as a "prevailing party." The Commission provided two examples: a complainant generally qualifies as the prevailing party in a Commission proceeding when the presiding officer awards reparations, or issues a cease and desist order. See 81 Fed. Reg. at 10,509 (Mar. 1, 2016). The Commission declined to go beyond such scenarios to examine whether a complainant may be a prevailing party in other circumstances. *Id.* at 10,512 & n.10 ("Applying the test used in other statutes, the Commission concludes that a complainant would generally qualify as the 'prevailing party' in a Commission proceeding when the presiding officer awards reparations or issues a cease and desist order. [n.10]

Nevertheless, the two scenarios noted by the FMC in its March 1, 2016 rulemaking are not the only examples when a party to a Commission proceeding can qualify as a prevailing party. According to the Commission, "[t]he touchstone of the prevailing party inquiry' is '***the material alteration of the legal relationship of the parties in a manner which Congress sought to promote in the fee statute.***'" 81 Fed. Reg. at 10,512 (citing *Tex. State Teachers Ass'n v. Garland Indep. Sch. Dist.*, 489 U.S. 782, 792-93 (1989)) (emphasis added). In *Edaf Antillas, Inc. v. Crowley Caribbean Logistics, LLC*, (FMC Docket No.: 14-04), the Commission found that a dismissal for failure to prosecute or to comply with an order in the proceeding is an adjudication on the merits, and therefore a material alteration of the legal relationship of the parties, such that

the respondent qualified as a "prevailing party". See, *Edaf*, Order Granting Petition for Attorney Fees dated September 14, 2016 at p.8.

In the matter at bar, p. 33 of the Initial Decision on Remand explains that: "...the claims against Respondent MTL be GRANTED but that no reparations be awarded to Complainants...". The decision itself nevertheless finds that MTL violated the Shipping Act with respect to the complainants. Accordingly, it is respectfully submitted that the granting of claims against respondent MTL and finding that they violated the Shipping Act constitutes the type of material alteration of the legal relationship of the parties such that complainants are "prevailing parties" for purposes of the instant action.

## **B. COMPLAINANTS HAVE ESTABLISHED ACTUAL INJURY TO JUSTIFY AN AWARD OF REPARATIONS**

### ***Standard of Review***

It is well settled that the measure of damages in cargo claims has been market value at the port of destination. See, *St. Johns N.F. Shipping Corp. v. S. A. Companhia Geral Commercial*, 263 U.S. 119, 44 S. Ct. 30, 68 L. Ed. 201 (1923). In the event goods are damaged rather than lost entirely, the measure would be the difference between sound market value at the port of destination and the market value of the goods in the damaged condition. See, *Holden v. The SS. Kendall Fish*, 395 F.2d 910 (5th Cir. 1968); *Elia Salzman Tobacco Co. v. SS. Mormacwind*, 371 F.2d 537 (2nd Cir. 1967); *Otis McAllister & Co. v. Skibs*, 260 F.2d 181 (9th Cir. 1958), cert. den. 359 U.S. 915, 79 S. Ct. 584, 3 L. Ed. 2d 576 (1959).

It is additionally well settled that when cargo is wrongfully delayed rather than actually damaged, the proper measure of damages is the difference between the market value of the goods at the time and place they should have arrived and the market value of the goods when they arrived. This principle is very well illustrated by the case of *Atlantic Mutual Insurance Co. v.*

*Poseidon Schiffahrt*, 313 F.2d 872 (7th Cir. 1963), cert. den. 375 U.S. 819, 84 S. Ct. 56, 11 L. Ed. 2d 53 (1963), which discusses generally the measure of damages in all three situations, that is, loss, damage and delay.

An obvious exception arises where there exists no market value at the destination port for the commodity damaged. In such event the nearest market is often used with the addition of the cost of getting the goods to that market. In *Sanib Corp. v. United Fruit Co.*, 74 F. Supp. 64 (S.D.N.Y. 1947), there was damage to a shipment of banana powder upon its arrival at Tampa, Florida. The District Court found that there was no market value for banana powder at Tampa, so the court applied the New York market price with proper adjustment for the difference in freight and other necessary expenses.

***Complainants' Injury Has Been Shown With Reasonable Certainty, and Is Based Upon a Reasonable Approximation Supported By Evidence and By Reasonable Inferences***

#### The Mercedes

In the first instance, the Commission is respectfully asked to note that with regard to the subject Mercedes, that this automobile was purchased for complainant's personal use three years prior to its import into the United States, at which point complainants requested that MTL act as Complainants' "receiving agent". On this issue, the Initial Decision on Remand made note (in FF#20) of: a) the Atlantic Cargo Logistics Invoice (bates no.: P0020); b) the John F. Kilroy Co. Inc. (Customs Broker) Invoice dated November 23, 2021 (bates no.: P0022); and c) the U.S. Customs and Border Protection Entry Summary provided by complainants (bates no.: P0023) all of which can be found in Complainants' Appendix on Remand Vol. 3, Appendix FF, Ex. A at P0020-P0023. The Commission is respectfully referred to Box "38" of the USCBP Entry summary which contains a: "DECLARATION OF IMPORTER OF RECORD (OWNER OR

PURCHASER) OR AUTHORIZED AGENT” and which has a series of checked boxes and which reads, in relevant part (with boxes checked) as follows:

I declare that I am the...owner or purchaser or agent thereof, I further declare that the merchandise was obtained pursuant to a purchase or agreement to purchase and that the prices set forth in the invoices are true...I also declare that the statements in the documents herein filed fully disclose to the best of my knowledge and belief the true prices, values, quantities, rebates, drawbacks, fees, commissions, and royalties and are true and correct, and that all goods or services provided to the seller of the merchandise either free or at reduced cost are fully disclosed.

The Declaration is signed by customs broker John F. Kilroy Co. Inc. as Attorney-in-Fact and the Atlantic Cargo Logistics Invoice demonstrates that “Customs Clearance Pass Through” was paid to Kilroy Customs Broker in the sum of \$1106.81 for the Mercedes.<sup>1</sup> There is nothing speculative about this, nor is there any speculation that these monies were actually paid by complainants, otherwise the Mercedes would not have been released by Atlantic Cargo Logistics to MTL’s possession when complainants requested that MTL act as Complainants’ “receiving agent”.<sup>2</sup>

The Initial Decision on Remand notes that the declared value of the Mercedes upon import was \$48,500.00 but nevertheless speculates that:

“...it is possible that Complainants paid for the Mercedes in Germany and paid the shipping costs from Germany. However, it is also possible that someone else paid the purchase price and shipping fees...”.

It is respectfully submitted that the foregoing speculation ignores the purpose and meaning behind a declaration of value for imported cargo, which is to define the rights and liabilities of the parties to a shipping transaction. The declaration of value is an understanding

---

<sup>1</sup> The Atlantic Cargo Logistics invoice is in the total sum of \$6316.81, all of which were billable to: “MAVL Capital Inc., ct: Maxim Ostrovski, 115 East 57<sup>th</sup> Street, Floor 11, New York NY 10022...”.

<sup>2</sup> During the course of discovery in this matter, MTL admitted that the subject invoice from Atlantic Cargo Logistics had been paid in full.

between the parties as to the risk that a carrier will undertake to ship cargo, as well as the shipper's obligation to obtain insurance coverage over and above the carrier's limitation of liability. *See, e.g., Anton v. Greyhound Van Lines, Inc.*, 591 F.2d 103, 108 (1st Cir. 1978); *W.C. Smith, Inc. v. Yellow Freight Sys., Inc.*, 596 F. Supp. 515, 517 (E.D.Pa. 1983) (shippers are charged with knowledge of tariff rates where they entered into a written agreement limiting the carriers' liability and declined to change the declared value from that referred to in the agreement).

Pursuant to the case law set forth in the above standard of review, the declared value of the Mercedes, as confirmed by customs broker John F. Kilroy Co. Inc. as Attorney-in-Fact is the closest possible measure of the market value at the Port of Destination, prior to MTL having received custody of the Mercedes as complainants' "receiving agent". *See, St. Johns N.F. Shipping Corp., supra, Atlantic Mutual Insurance Co., supra, and Sanib Corp. v. United Fruit Co., supra.*

Ultimately, it is undisputed that upon export of the Mercedes to Dubai, that MTL had the title reissued in Dubai (in order to make it a clear title) at which time the automobile was sold overseas for a profit. On this particular issue, and as set forth above, the Initial Decision on Remand also explains that:

**"...if the evidence produced by both parties is evenly balanced,** the party with the burden of persuasion will not prevail. *Director v. Greenwich Collieries*, 512 U.S. 267, 281 (1994). Because there is not sufficient evidence or documentation to support the reparations requested, no reparations can be awarded....".

It is respectfully submitted that in the matter at bar, the evidence produced by both parties is *not* evenly balanced. In the first instance, there is no evidence that anyone other than complainants paid monies for the purchase of the Mercedes and Porsche, and accordingly, no "evenly balanced" evidence. Additionally, complainants herein had already exposed MTL's

inconsistent stories in two different forums regarding MTL's alleged sale of the Mercedes to Middle East Asia Alfa for the sum of \$3,500..." (including an email from counsel for respondents explaining that: "The bank statement showing payment for this transaction is for \$4,950, which includes payment of the \$3,500 for the Mercedes SL65 and \$1,450 toward an motorcycle purchase unrelated to this case), while at the same time, MTL claimed that those very same funds were for the purchase of the boat trailer for the Formula pleasure boat owned by the complainants in the matter of Crocus Investments, LLC et al. v. Marine Transport Logistics Inc. et al. (FMC Docket No.: 15-04). See, Complainants' Additional Proposed Findings of Fact and Brief in Support of Petition to Reopen the Proceedings in Crocus, supra, dated October 28, 2016 at p. 2-3 (FF#'s 4-8); pp. 22-24.

Complainants also exposed more inconsistencies in MTL's evidence, further demonstrating that such evidence was not "evenly balanced" and this contradictory evidence is memorialized in the Findings of Fact Nos.: 36, 41, and 42 of the Initial Decision on Remand. For instance, the Certification of Alla Solovyeva explains that with regard to the Mercedes, Alla Solovyeva, on behalf of MTL, stated that "after my company could not locate Mr. Ostrovskiy, **Car Express** found the customer (Middle East Asia Alfa) who paid for outstanding storage charges and the vehicle was transferred to Car Express as it is an authorized dealer so the vehicle could lawfully be exported out of the United States. (FF# 36). At the same time, Aleksandr Solovyev, sole principal and officer of Car Express and RFG, stated that "Car Express and Royal finance Group were not involved with the 2006 Mercedes SL65." (FF# 41).<sup>3</sup> Finding of Fact FF#42 states that: "The Mercedes was sold for under \$4000 in Dubai. CApp., Vol. 2, Appendix V at 10 (DEF 0061) (\$3500) but see CPFF ¶ 35; R/CPFF ¶ 35 (\$3,800)".

---

<sup>3</sup> This additionally contradicts with FF# 58 in the Initial Decision on Remand which explains that: "Alla Solovyeva, on behalf of MTL, stated that "Cargo Express, as a lawful dealer, found the buyer for the Mercedes and Porsche, and acted as a third party between MTL and the [new] consignee."

All of the foregoing contradict MTL's additional story, as set forth above that MTL allegedly sold the Mercedes to Middle East Asia Alfa for the sum of \$3,500.00.

For these reasons, the evidence produced by the parties is not evenly balanced, MTL's inconsistent evidence and testimony of MTL should be disregarded, and complainants' valuation, supported by the Declaration signed by customs broker John F. Kilroy Co. Inc. as Attorney-in-Fact and the Atlantic Cargo Logistics Invoice should stand. The foregoing demonstrates that complainants have sufficiently established, with regard to the Mercedes, actual injury within reasonable certainty (which according to the Presiding Officer's own standard of review "...can be based on something less than precision...").

#### The Porsche

With regard to the subject Porsche, the Initial Decision on Remand takes issue with the fact that in their brief, Complainants seek \$67,000, based on a contract for sale of the Porsche, plus \$10,000 paid to RFG for ocean freight and other charges, explaining that "...it is possible that Complainants wired \$5,500 to IAA on April 18, 2013, and \$10,000 to RFG on April 22, 2013, for the Porsche Panamera as they claim...However, it is also possible that those payments were made by someone else or were for a different shipment. For example, it is possible that RFG paid IAA for the Porsche and that RFG financed part, if not all, of the purchase and repairs of the Porsche....".

With regard to lost profits arising from the lost sale of the Porsche, the Initial Decision on Remand concludes that: "...contracts for sale for a vehicle that was damaged and which a buyer had never seen are too speculative to support a reparations award. Accordingly, Complainants have not established that they are entitled to reparations....".

Again, and with all due respect, the Initial Decision on Remand amounts to speculation on the issue of the Porsche for a number of reasons. First, FF#47 states that on: "...April 22, 2013, wire transfer of \$10,000, to RFG states "Pamamera ML 350," which may have been payment for the Porsche Panamera but might also have been a payment for a different vehicle as the Porsche is not otherwise described as "ML 350...". However, and considering that the evidence is not "evenly balanced", there is no evidence on the record contradicting complainants' argument that the \$10,000 was payment for anything other than the subject Porsche.

Moreover, and inasmuch as the record in this matter includes all related information from the litigation in the in the Eastern District of New York, to wit: *MAVL Capital, Inc. v. Marine Transport Logistics, Inc., et al.*, No. 13-cv-7110<sup>4</sup>, the Commission may take note of the Declaration of Aleksandr Solovyev (ECF 11 on that docket), dated February 28, 2014 at ¶¶ 28-31, wherein he explains that RFG never tried to collect on invoices 117MO or 1173MO which were related to the subject Mercedes, which means that complainants' wire of \$10,000 could *only* have been applied to the subject Porsche.

At the end of the day, MTL has not provided any evidence to contradict complainants' evidence that the Porsche was in fact sold to a customer overseas for the sum of \$67,000 pursuant to a contract of sale, nor that the value of the car at the port of destination was anything other than \$67,000 pursuant to the case law set forth above. Above that amount, and pursuant to the contract of sale, complainants were also obligated to pay a penalty to their customer for failure to deliver the car pursuant to paragraph 12.1 of the contract.

---

<sup>4</sup> See, Order Modifying Initial Order on this docket, dated January 17, 2017 at p. 2.

The evidence is not evenly balanced and MTL's credibility is severely lacking - a Copart invoice dated May 28, 2013, showing that Car Express allegedly purchased the Porsche from Progressive for a total of \$21,000, which includes a severe water damage disclosure, was not created and/or generated by Copart (FF# 51). The Porsche was purchased by complainants and meant to be sold for a profit - - a profit which MTL ultimately kept for itself when it sold the Porsche in Dubai.

To the extent that the Initial Decision on Remand argues that contracts for sale for a vehicle that was damaged and which a buyer had never seen are too speculative to support a reparations award, it is respectfully submitted that such argument is misplaced. It is quite common practice for overseas buyers to purchase automobiles by relying upon inspection sheets and photographs provided by the seller or by the auto auction warehouse. In fact, this was part of the regular course of conduct engaged in by complainants prior to the time that the relationship between complainants and respondents came to an end. See, generally, the Complaint in this matter explaining the parties' course of conduct, as well as the Complaint filed by complainants herein in the EDNY litigation on December 12, 2013 (ECF 1).

Accordingly, the foregoing demonstrates that complainants have sufficiently established, with regard to the Porsche, actual injury within reasonable certainty (which according to the Presiding Officer's own standard of review "...can be based on something less than precision...").

### **CONCLUSION**

In closing, it is respectfully submitted that complainants have established justification to the issuance of an Order by the Commission holding that the evidence was sufficient in order to establish actual injury to support an award of reparations, and striking from the Initial Decision

on Remand the contradictory findings of fact identified herein, or in the alternative, that complainants should be allowed, upon remand, to brief the Presiding Officer with further evidence of actual value of the subject automobiles at the port of destination.

**WHEREFORE**, for the reasons set forth above, Complainants request that the Commission reverse the challenged findings of the Initial Decision on Remand in this proceeding, and adopt Complainants' recommended findings and analysis as set forth in these exceptions.

Dated: November 12, 2021  
Brooklyn, New York

Respectfully Submitted,

/s/ Marcus Aurelius Nussbaum  
Marcus A. Nussbaum, Esq.  
P.O. Box 245599  
Brooklyn, NY 11224  
Attorney for Complainants

**ATTACHMENT A**  
**COMPLAINANT'S EXCEPTIONS TO INITIAL DECISION ON REMAND**

- I. The Initial Decision on Remand (“ID”) is in error because it gives the sense of advocacy on the part of the ALJ rather than impartial even-handed adjudication which is required by the Administrative Procedure Act; among its many shortcomings, the ID is arbitrary and capricious; it makes ultimate conclusions of fact which do not rationally flow from the Findings of Fact; it blatantly fails to consider at all evidence in the record on central issues; in some instances, the ID reaches conclusions of fact on key issues with no factual support whatsoever in the record. Furthermore, the ID blatantly and repeatedly ignores established Federal Maritime Commission regulations and law in its legal conclusions.
- II. The ID is in error because it completely ignores or gives little regard to the material evidence and arguments posited by Complainants as to the existence of actual injury with regard to the shipment of the Mercedes and Porsche abroad.
- III. The ID is in error because it completely ignores or gives little regard to respondents’ own admission as to the existence of actual injury with regard to the shipment of the Mercedes and Porsche abroad.
- IV. The ID is in error because it ignores the issue of complainants having been deemed “prevailing parties” in this matter when their claims against MTL were granted and it was found that MTL had violated the Shipping Act with regard to complainants.
- V. The ID is in error because it ignores industry custom, standards, and practice with respect to the sale of vehicles to overseas customers.
- VI. The ID is in error because it makes findings of fact in light of numerous conflicting statements made by respondents herein.

**CERTIFICATE OF SERVICE**

I hereby certify that I have this day served the **COMPLAINANTS' BRIEF IN SUPPORT OF ITS' EXCEPTIONS TO INITIAL DECISION ON REMAND** upon Respondents' Counsel at the following address:

by email to: PeterCipparulo@cipplaw.com, and garry.pogil@gmail.com.

/s/ Marcus Aurelius Nussbaum  
Marcus A. Nussbaum, Esq.  
Mailing Address: P.O. Box 245599  
Brooklyn, NY 11224  
Tel: 888-426-4370  
Fax: 347-572-0439  
Attorney for Complainants  
marcus.nussbaum@gmail.com

Dated: November 12, 2021  
Brooklyn, NY